



“HFCs rely on available documentation, which is uploaded and stored digitally, even though these borrowers don't use the internet much”

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“The nature of affordable housing—small-ticket loans, self-employed borrowers, and high-touch origination—does create exposure to gaps and process lapses”

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able loans is not easy and requires a different mindset. “The risks are well-recognised and increasingly mitigated through stronger governance, technology adoption, and regulatory oversight. Deploying digital KYC, property verification tools, and centralised credit decisioning (could) reduce human dependency and fraud risk,” says Agarwal of CareEdge Ratings.

THE ‘INSURANCE’ COVER

HFCs’ push for a 75% guarantee covers on loans up to ₹25 lakh under the Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) reflects concentration of risk in affordable housing. At present, the scheme offers 70% cover for loans up to ₹20 lakh, leaving the ₹20-35 lakh ticket size borrowers uncovered. The scheme enables lenders to secure the loan purely on the as-

sets financed, without any collateral. That means the existing portfolio of lenders with a ticket size of more than ₹20 lakh is outside the ambit of this scheme and would have been appropriately priced and secured by lenders. An increase in the coverage of the scheme from ₹20 lakh to ₹25 lakh will provide additional support for growth in this range, while allowing flexible pricing and more efficient risk management.

As the affordable housing opportunity expands, stress points such as rising defaults, higher compliance costs, and funding volatility could push the sector towards consolidation. Industry watchers compare the trend to how banks once edged HDFC (now merged with HDFC Bank) out of the urban prime segment.

Experts expect a consolidation over the next couple of

years, especially if regulatory and non-performing asset pressures mount. Private equity funds have a definite fund life within which they must exit.

After driving out the HFCs from the prime turf, banks are now eyeing newer customers in the high-growth affordable housing segment. They are experimenting with co-lending models with new-age NBFCs.

What began as a play to meet priority sector norms decades ago, and later expanded to the affordable segment, is fast becoming a new growth frontier. And as technology helps in better credit assessment, even the self-employed and cash-income borrowers may no longer be beyond the banks’ reach.

For HFCs, this is not just competition—it’s the new battleground in the years to come. **BT**